www.tntextbooks.in

Manager's commission= $10,000 \times \frac{10}{100}$ = 1,000

Illustration 12

From the following balances obtained from the books of Siva, prepare trading and profit and loss account.

Particulars	`	Particulars	`
Stock on 01.01.2016	9,000	Bad debts	1,200
Purchases	22,000	Sundry expenses	1,800
Sales	42,000	Discount allowed	1,700
Expenses on purchases	1,500	Expenses on sale	1,000
Bank charges paid	3,500	Repairs on office furniture	600

Adjustments:

a) Closing stock on, 31st December, 2016 was ` 4,500

b) Manager is entitled to receive commission @ 5% of net profit after providing such commission.

Solution

Dr. Trading and Profit and Loss Account for the year ended 31st December, 2016 Cr.

Particulars	`	Particulars	`
To Opening stock	9,000	By Sales	42,000
To Purchases	22,000	By Closing stock	4,500
To Expenses on purchases	1,500		
To Gross profit c/d	**14,000**		
	46,500		46,500
To Bank charges	3,500	By Gross profit b/d	14,000
To Bad debts	1,200		
To Sundry expenses	1,800		
To Discount allowed	1,700		
To Expenses on sale	1,000		
To Repairs on office furniture	600		
To Manager's commission	200		
To Net profit (transferred to capital A/c)	**4,000**		
	14,000		14,000